

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MAC INDUSTRIES INC. DBA MAC CONTAINER LINE,
Complainant

v.

COSCO SHIPPING LINES CO., LTD. AND
COSCO SHIPPING LINES (NORTH AMERICA) INC.,
Respondents.

DOCKET NO. 25-29

Served: May 21, 2026

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER ON MOTION TO DISMISS

I. Introduction

A. Overview

On January 23, 2026, Respondents COSCO Shipping Lines Co., Ltd. (“COSCO”) and COSCO Shipping Lines (North America), Inc. (“CSLNA”), filed a motion to dismiss (“Motion”). On February 25, 2026, *pro se* Complainant MAC Industries Inc. dba MAC Container Line (“MAC”) filed its opposition to the motion to dismiss (“Opposition”). On March 2, 2026, Respondents filed a reply to the opposition (“Reply”).

Also on March 2, 2026, Complainant filed a motion for leave to accept out-of-time opposition (“Leave Motion”). On March 3, 2026, Respondents filed a reply to Complainant’s leave motion (“Leave Motion Reply”).

The complaint alleges unreasonable billing practices, unreasonable refusal to deal, retaliation, failure to honor service contract, and unreasonable discrimination in violation of the Shipping Act. Complaint at 2.¹ The motion requests that the complaint be dismissed for failure to state a claim, for raising contract law disputes rather than colorable Shipping Act claims, and for lack of both personal and subject matter jurisdiction over CSLNA. Motion at 2.

For the reasons below, the motion to dismiss is granted with leave to move to amend the complaint. Complainant must file a motion requesting leave to file an amended complaint and a copy of the amended complaint by June 12, 2026. Respondents may file a response to the

¹ The complaint does not have page numbers, so the PDF page number will be used.

motion. Failure to file a motion and amended complaint by that date will result in an order dismissing this action with prejudice.

This decision discusses the leave motion, before addressing the merits of the motion, including the relevant law, factual basis, arguments and analysis, and issues an order.

B. Leave Motion

In its leave motion, MAC acknowledges that it filed its opposition late, on February 25, 2026, the same day the FMC Office of Administrative Law Judges inquired about the response. MAC asserts that the delay resulted from a misunderstanding about the procedures, the delay was not intentional or strategic, and there has been no prejudice. Leave motion at 1.

Respondents contend that the leave motion violates the Commission Rules of Practice and Procedure (“Rules”) because it is not double spaced and MAC did not confer with Respondents before filing it, arguing that a *pro se* party must still comply with the Commission’s procedural and substantive rules. Leave motion opposition at 2.

The motion to dismiss was filed on January 23, 2026, and the response was due fifteen days later. MAC acknowledges the late response. Moreover, MAC’s motion for leave was not double spaced and, more importantly, did not indicate that the other party had been consulted. Having established a violation of the Commission’s rules, the question is the appropriate penalty.

Striking the opposition would lead to dismissal of the proceeding. This is an extreme penalty. Moreover, the Commission prefers to make decisions based on the merits of a proceeding. Therefore, MAC is given a formal warning that it must comply with Commission Rules and that it is expected to be familiar with the Rules as well as the requirements in the Initial Order issued in this proceeding. Failure to follow rules or requirements may result in filings being rejected or an adverse decision.

Accordingly, the leave motion is **GRANTED** and the opposition is considered.

C. Relevant Law

Commission Rule 62 requires a complaint to have a “clear and concise factual statement sufficient to inform each respondent with reasonable definiteness of the acts or practices alleged to be in violation of the law, and a statement showing that the complainant is entitled to relief.” 46 C.F.R. 502.62(a)(3)(iii).

Although the Commission’s Rules do not explicitly provide for motions to dismiss, Commission Rule 12 states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. “In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rule of Civil Procedure 12(b)(6) and the federal caselaw interpreting it.” *Cornell v. Princess Cruise Lines, Ltd.*, Docket No. 13-02, 2014 WL 5316340, at *6 (FMC Aug. 28, 2014).

Federal Rule of Civil Procedure 12(b) permits a party to raise, by motion, failure to state a claim. FED. R. CIV. P. 12(b)(6); *see also Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 2011 WL 7144008, at *11 (FMC Aug. 1, 2011). “On a motion to dismiss for failure to state a claim upon which relief can be granted pursuant to Rule 12(b)(6), courts will dismiss a claim if the plaintiff’s complaint fails to plead ‘enough facts to state a claim for relief that is plausible on its face.’” *Cornell*, Docket No. 13-02, 2014 WL 5316340, at *6 (quoting *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). Under this standard, “the facts alleged are taken as true and all reasonable inferences are drawn in the complainant’s favor.” *MAVL Capital v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 WL 13512925, at *5 (FMC Oct. 29, 2020). “When evaluating a motion to dismiss for failure to state a claim, the Commission considers the facts alleged in the complaint, documents attached to the complaint, documents incorporated by reference in, or integral to, the complaint, and matters subject to official notice.” *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189, at *1 n.1 (FMC Dec. 18, 2015).

“A claim ‘has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.’” *Mitsui O.S.K. Lines Ltd.*, 2011 WL 7144008, at *12 (quoting *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009)). The complaint’s factual allegations must be enough to raise a right to relief above the speculative level and must nudge claims across the line from conceivable to plausible. *Cornell*, 2014 WL 5316340, at *6. “Mere labels and conclusions or a “formulaic recitation of the elements of a cause of action” will not suffice, nor will “naked assertions devoid of further factual enhancement.” *Iqbal*, 556 U.S. at 678 (citation modified) (quoting *Twombly*, 550 U.S. at 557). “Where a complaint pleads facts that are merely consistent with a defendant’s liability, it stops short of the line between possibility and plausibility of entitlement to relief.” *Cornell*, 2014 WL 5316340, at *6 (citing *Iqbal*, 446 U.S. at 678). The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 WL 4411676, at *2 (M.D. Tenn. 2014).

[O]n a motion to dismiss, a court may consider “documents attached to the complaint as an exhibit or incorporated in it by reference,...matters of which judicial notice may be taken, or...documents either in plaintiffs’ possession or which plaintiffs had knowledge and relied on in bringing suit.” Because this standard has been misinterpreted on occasion, we reiterate here that a plaintiff’s *reliance* on the terms and effect of a document in drafting the complaint is a necessary prerequisite to the court’s consideration of the document on a dismissal motion; mere notice or possession is not enough.

Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC Docket No. 14-04, 2014 WL 5824274 at *6 (ALJ Nov. 6, 2014) (admin. final Dec. 8, 2014) (emphasis and ellipses in original, footnote omitted) (quoting *Chambers v. Time Warner, Inc.*, 282 F.3d 147, 153 (2d Cir. 2002)).

The Shipping Act defines and regulates a number of different types of entities that are involved in the international shipment of goods by water, including common carriers.

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between

the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country[.]

46 U.S.C. § 40102(7); *see also* 46 C.F.R. § 515.2(e).

The Shipping Act also provides that the term “ocean transportation intermediary” means “an ocean freight forwarder or a non-vessel-operating common carrier.” 46 U.S.C. § 40102(20). The term non-vessel-operating common carrier (“NVOCC”) is defined as a common carrier that “(A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17). The term ocean freight forwarder is defined as “a person that - (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments.” 46 U.S.C. § 40102(19).

II. Factual Basis

Because this is a motion to dismiss, the facts in the complaint are accepted as true. According to the complaint, MAC is a licensed NVOCC, COSCO is a vessel-operating common carrier, and CSLNA is COSCO’s United States agent. Complaint at 1.

The complaint further alleges that a specific export shipment was subject to a government hold resulting in it being confiscated and auctioned. MAC claims it was billed detention “even though the cargo was under government control and COSCO had internally taken custody of the empty equipment.” Complaint at 3. MAC disputed the detention invoicing and asserts that COSCO retaliated against it, including by reducing its shipping quantity commitment and prematurely terminating the contract. MAC concedes that COSCO later cancelled the attempted amendment of the service contract but alleges that this partial reversal did not fully cure the violations.

MAC seeks reparations of up to \$1.2 million, an order for COSCO to void a detention invoice, reinstatement of a service contract, restoration of commercial privileges, an order for COSCO to implement safeguards, civil penalties, and attorney fees and costs.

“In ruling on a motion to dismiss, the Court may consider not only the facts alleged in the complaint, but also documents attached to or incorporated by reference in the complaint and documents attached to a motion to dismiss for which no party contests authenticity.” *Slovinec v. Georgetown Univ.*, 268 F. Supp. 3d 55, 59 (D.D.C. 2017), *aff’d*, No. 17-7122, 2018 WL 1052650 (D.C. Cir. Jan. 26, 2018) (citing *Demissie v. Starbucks Corporate Office & Headquarters*, 19 F.Supp.3d 321, 324 (D.D.C. 2014)). The documents attached to the complaint are considered.

III. Arguments and Analysis

The motion alleges a failure to state a claim for each of the allegations, that there is not jurisdiction as this is a mere breach of contract claim, and that the Commission does not have jurisdiction over CSLNA. The jurisdictional arguments are addressed before discussing failure to state a claim, remedy and next steps.

A. Jurisdiction over the Section 41102(a)(2) Claim

The motion argues that the Commission lacks jurisdiction over the section 41102(a)(2) claim because under section 40502(f), the exclusive remedy for a breach of a service contract is an action in an appropriate court, relying on the Commission's *Cargo One* decision. Motion at 13-14.

The opposition asserts that "Respondents' attempt to recase this matter as a simple contract dispute fails. MAC alleges retaliatory, discriminatory, and unreasonable practices squarely within 46 U.S.C. §§ 41102(c) and 41104(a). Such claims fall at the core of the Commission's jurisdiction." Opposition at 1.

The reply contends that the opposition's arguments are "plainly irrelevant" to the section 41102(a)(2) claim, which it describes as "explicitly premised on failure to comply with the terms of the Service Contract." Reply at 8.

The Shipping Act provides that a "person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part." 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006) (the Commission was obligated to hear allegations particular to the Shipping Act, even where the complainant has already obtained an arbitration award for related breach of contract claims); *see also Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (the Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations).

The Shipping Act, section 40502(f), provides: "Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court." 46 U.S.C. § 40502(f). The D.C. Circuit recently addressed section 40502(f), stating:

The "best reading of the statute," *Loper Bright [Enters. v. Raimondo]*, 603 U.S. 369, 400 (2024)], makes it plain that § 40502(f) cannot be so broad as to swallow the Commission's statutory authority to adjudicate whole categories of Shipping Act violations that clearly contemplate Commission enforcement. As we explain below, both the terms of the statute and the applicable caselaw confirm this point. *See, e.g., A/S Ivarans [Rederi v. United States]*, 895 F.2d 1441, 1446 (D.C. Cir. 1990)] (holding that "parties may not construct an obstacle to the FMC's right to enforce the Shipping Acts").

For instance, § 41104(a)(2)(A) makes it a violation of the Act for a carrier to “provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in ... a service contract.” This indicates that deviation from a service contract may be a violation of the Shipping Act. *See also id.* § 41102(b)(2) (making it a “[g]eneral prohibition[]” of the Shipping Act for regulated entities to operate “not in accordance with the terms of” certain agreements filed with the Commission). It is obvious that, under these provisions, a claim of breach of the parties’ service contract might overlap with violations of the Shipping Act.

MSC Mediterranean Shipping Co. S.A. v. FMC, 141 F.4th 222, 232 (D.C. Cir. 2025).

The claim of a violation of section 41102(a)(2) is not dismissed because of section 40502(f), as the Shipping Act clearly contemplates that the Commission has jurisdiction over at least some claims of failure to operate in accordance with the terms of a service contract.

B. Jurisdiction over CSLNA

The motion seeks to dismiss CSLNA for lack of both personal and subject matter jurisdiction as they allege it is not a common carrier, OTI, or marine terminal operator and therefore not a regulated entity, relying on a Supreme Court and a Commission case. Motion at 15-16.

The opposition addresses this allegation, asserting first that the complaint “alleges that CSLNA directly participated in the challenged conduct, including suspending MAC’s booking privileges, restricting SWB authority, transmitting retaliatory directives, and enforcing the disputed detention invoice.” Opposition at 2. Second, Complainant asserts that whether joint liability is appropriate is a merits question and the Commission has “repeatedly held that dismissal is improper” for a domestic affiliate. *Id.* Third, Complainant contends that CSLNA’s “continued presence is necessary to ensure effective relief,” specifically with regard to “meaningful reparations and prospective relief.” *Id.*

The reply notes that the opposition does not address the cited cases and does not allege that CSLNA operates as a common carrier. Reply at 9. Moreover, the reply argues that the arguments raised by Complainant are wholly irrelevant, facetious, and false. Reply at 10-11.

To conclude that an entity was operating as a regulated common carrier, the entity must meet the Shipping Act’s definition of common carrier; that is, it must hold itself out to the general public to provide transportation by water of cargo between the United States and a foreign country for compensation, assume responsibility for the transportation from the port or point of receipt to the port or point of destination, and use for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. 46 U.S.C. § 40102(7); *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 162 (FMC 2001).

The complaint alleges that CSLNA is “COSCO’s U.S. agent” and refers to both entities as “COSCO” so that it is impossible to discern which allegations are alleged against each entity. Moreover, the opposition does not cite what cases it is referring to and it is not reasonable to

expect the opposing party or Presiding Officer to guess or conduct legal research on a party's behalf. The complaint does not clearly indicate the role played by CSLNA, if any, beyond acting as the agent of a disclosed principal. Therefore, the complaint does not plausibly allege that CSLNA was a regulated entity over which the Commission has subject matter or personal jurisdiction. Therefore, the motion is granted with regard to CSLNA.

C. Failure to State a Claim

1. Unreasonable Practices

The motion asserts that it is Complainant's burden to allege and prove each and every element of a 46 U.S.C. § 41102(c) claim and that the complaint does not address the requirement that the claimed acts or omissions "are occurring on a normal, customary, and continuous basis." Motion at 5. The motion discusses a number of cases which were dismissed for failure to make out a practice. The opposition does not address the 41102(c) claim or the motions' argument regarding plausibly alleging this element.

Section 41102(c) states: "A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c). The Commission has identified five factors required to establish a violation of this section.

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

The complaint first alleges a violation of section 41102(c) regarding unreasonable billing practices. The complaint identifies one shipment, which was subject to a government hold, for which it alleges detention was unreasonably imposed. Complaint at 3. The complaint and the opposition do not allege any other shipments for which there were unreasonable billing practices, despite the parties having an on-going shipping relationship.

The Commission has affirmed the dismissal of 41102(c) claims when only a few shipments were involved. For example, the Commission stated:

The ALJ correctly found that the conduct here did not satisfy the “normal, customary, and continuous” element of § 41102(c). Complainant demonstrated that over the course of two months, Respondent released three of Complainant's shipments to the same consignee without obtaining the original bill of lading or Complainant's consent. The conduct occurred over two months (September and October 2016), with respect to three shipments, under one contract, and involved one shipper and one consignee.

Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight Int'l Inc., Docket No 17-02, 2020 WL 5406762, at *5 (FMC Sept. 1, 2020); *see also Marie Carew v. Maersk Line A/S*, Docket No. 20-17, 2021 WL 5195751, at *9 (ALJ Nov. 22, 2021) (admin. final Dec. 3, 2021) (normal, customary, and continuous element not met for four containers).

The complaint does not plausibly allege that the asserted unreasonable billing issues meets the normal, customary, and continuous element as it appears to be an unusual situation where there was a government hold on one shipment. Accordingly, the complaint does not plausibly allege this element of a section 41102(c) claim and the motion is therefore granted.

2. Refusal to Deal

For the second count, the complaint alleges a violation of section 46 U.S.C. § 41104(a)(10), and states:

Unreasonable refusal to deal / retaliation

- Suspension of bookings
- Contract cancellation attempts
- Blocking rate access
- Cancellation of dozens of confirmed bookings
- Targeted commercial harm

Complaint at 2; *see also* Complaint at 6 alleging “Retaliatory refusal to deal.” Thus, it is not clear whether the complaint is alleging a violation based on refusal to deal (41104(a)(10)) or retaliation (41102(d), formerly 41104(a)(3)). Both will be addressed.

The motion alleges that the complaint fails to allege facts sufficient to meet two elements and points to a number of recent cases where refusal to deal claims have been dismissed for failing to allege a sufficient factual basis. Motion at 9-11. The opposition does not explicitly address refusal to deal. In the reply, COSCO asserts that MAC fails to address this claim; does not allege any of the facts required by FMC rules or precedent; and does not distinguish or even mention the cases in support of MAC's arguments. Reply at 4-5.

Section 41104(a)(10) states that “A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not- . . . unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.”

The elements of a claim for refusal to deal with respect to refusals of cargo space accommodations when available, are:

- (1) The respondent is an ocean common carrier as defined in 46 U.S.C. § 40102;
- (2) The respondent refuses or refused to deal or negotiate with respect to vessel space accommodations; and
- (3) The ocean common carrier's conduct is unreasonable.

46 C.F.R. § 542.1(c)

Failing to arrive at favorable terms – or any terms at all – following a negotiation is not a refusal to deal or negotiate. *Seacon Terminals, Inc. v. Port of Seattle*, Docket No. 90-16, 1993 WL 197325, *19 (FMC Apr. 14, 1993). For example, a respondent “was not required to give every potential lessee a lease; it was required to apply its stated criteria for granting the preferential lease terms in a fair and even-handed manner.” *Ceres Marine Terminals v. Maryland Port Admin.*, Docket 94-01, 2001 WL 1085428, *23 (FMC Aug. 15, 2001). The Commission has stated that “in determining reasonableness, the agency will look to whether a marine terminal operator gave actual consideration to an entity's efforts at negotiation.” *Canaveral Port Auth.-Possible Violations*, 2003 WL 723336, at *18 (FMC Feb. 24, 2003). “Refusals to deal or negotiate are factually driven and determined on a case-by-case basis,” although the ultimate burden of persuasion remains with the complainant to show that the refusal to deal or negotiate was unreasonable. *Id.* at *13, *18.

It is not clear that MAC intended to allege a refusal to deal violation. The complaint combines allegations of retaliation with refusal to deal and the opposition does not mention refusal to deal. The limited factual allegations in the complaint are not sufficient to plausibly allege a refusal to deal or negotiate or that such refusal was unreasonable. Rather, the complaint focuses on suspensions and cancellations, which appear to be actions taken after an agreement was reached. Without a sufficient factual basis, the claim cannot move forward. Accordingly, the motion to dismiss the refusal to deal claim is granted.

3. Retaliation

As with the refusal to deal claim, the retaliation claim alleges: suspension of bookings; contract cancellation attempts; blocking rate access; cancellation of dozens of confirmed bookings; and targeted commercial harm. Complaint at 2.

The motion cites recent cases where retaliation claims have been dismissed and contends that the complaint does not allege that Complainant engaged in any “protected activity” but rather that any retaliation was in response to MAC's questioning of an invoice, which is not a protected activity.

The opposition argues that MAC has adequately pleaded retaliation and discrimination, pointing to the “clear temporal and causal link between MAC's good-faith dispute” of a detention invoice “and COSCO's subsequent suspension of bookings, attempted contract cancellation, and withdrawal of commercial support.” Opposition at 1. Moreover, MAC alleges

that the motion “improperly attempts to resolve factual disputes and weigh competing evidence, which is inappropriate at the pleading stage.” *Id.*

In reply, COSCO cites a relevant case and contends that the retaliation claim must be dismissed “because MAC does not, and cannot, allege that the purported retaliation was in response to MAC engaging in a protected activity.” Reply at 5-6.

Prior to the Ocean Shipping Reform Act of 2022, retaliation was found at section 41104(a)(3) and both parties refer to this section. However, the prohibitions on retaliation have been moved to section 41102(d), which states:

(d) Retaliation and Other Discriminatory Actions.—A common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly, may not—

(1) retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, or a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation; or

(2) resort to any other unfair or unjustly discriminatory action for—

(A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has—

(i) patronized another carrier; or

(ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or

(B) any other reason.

46 U.S.C. § 41102(d).

The Commission issued a Statement on Retaliation to clarify that it will interpret the anti-retaliation provision “broadly to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission, and to address new shipping practices and new forms of retaliation.” Statement of the Commission on Retaliation, Docket No. 21-15, 3 F.M.C.2d 201, 2021 WL 9204128 (FMC Dec. 28, 2021) (“Statement on Retaliation”). The Commission has indicated that “protected activity includes not only filing a complaint with the Commission but also participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or using CADRS’ dispute resolution procedures.” Statement on Retaliation, 3 F.M.C.2d at 201. The Commission concluded the policy statement with an example, stating:

A complainant must show that a carrier engaged in prohibited conduct (refusing cargo space accommodations or other unfair or unjustly discriminatory methods), with respect to a protected entity (shipper), because the protected entity engaged in protected activity (patronizing other carriers, filing a complaint, or other activities of the same class).

Statement on Retaliation, 3 F.M.C.2d at 209.

The complaint provides factual allegations of retaliation following MAC's detention dispute, stating:

21. Immediately after MAC disputed the unlawful detention invoicing, COSCO initiated a series of escalating retaliatory actions:

a. COSCO attempted to amend CHN26204 to reduce MQC and prematurely terminate the contract (Nov 7–12).

b. COSCO instructed MAC to cancel all forward bookings.

c. COSCO suspended rate access and refused to accept bookings.

d. Removal of SWB terms by Cosco.

e. COSCO's actions caused MAC to lose significant margins on customers

22. COSCO failed to offer any commercially legitimate explanation for these abrupt reversals.

23. The timing—within days of the detention dispute—creates a clear inference of retaliation prohibited by 46 U.S.C. § 41104(a)(3).

Complaint at 4 (exhibit citations and emphasis omitted; capitalization in original).

Thus, there are no allegations in the complaint that the failure to deliver occurred because MAC patronized other carriers, filed a complaint, or otherwise aired their grievance with the Commission. Moreover, there are no factual allegations identifying unfair or unjustly discriminatory action or mentioning another entity that was treated differently. Additionally, the complaint asserts that the “FMC has repeatedly held that retaliatory contract cancellations violate §41104(a)(3)” however those cases are not cited in Complainant's complaint or opposition, so that it is not possible to know which cases are being referenced.

Buried in the attachments to the complaint is a November 7, 2025, email from COSCO to MAC stating that they will “suspend cooperation due to the outstanding invoice attached” and that MAC should, “effective immediately, please refrain from making new bookings with COSCO until the matter is resolved.” Complaint at 116 (emphasis omitted). There is a responding email on November 10, 2025, from MAC to COSCO alleging that this “constitutes an unreasonable refusal to deal” under “41104(a)(10)” and “an unreasonable billing practice” under “41102(c);” and that “[a]s you are aware, the recent amendments under OSRA/Shipping Act revisions explicitly lowered the barrier to filing complaints, and MAC is prepared to fully defend its position before the Commission.” Complaint at 114-115 (emphasis omitted). The timeline alleges that on November 11-12, 2025, “COSCO Trade directs MQC reduction, contract cancellation, and demands MAC cancel active bookings” and on Nov 12-13, 2025, that “COSCO blocks rate access, cancels MAC bookings, and instructs termination of CHN26204.” Complaint at 107.

It appears that there may be a factual basis supporting the retaliation claim. However, the complaint fails to provide a “clear and concise factual statement sufficient to inform each respondent with reasonable definiteness of the acts or practices alleged to be in violation of the law” as required by Commission Rule 62. The Tenth Circuit has stated:

Although “[a] pro se litigant’s pleadings are to be construed liberally and held to a less stringent standard than formal pleadings drafted by lawyers,” “[t]his court has repeatedly insisted that pro se parties follow the same rules of procedure that govern other litigants.” Thus, although we make some allowances for “the [pro se] plaintiff’s failure to cite proper legal authority, his confusion of various legal theories, his poor syntax and sentence construction, or his unfamiliarity with pleading requirements[,]” the court cannot take on the responsibility of serving as the litigant’s attorney in constructing arguments and searching the record.

Garrett v. Selby Connor Maddux & Janer, 425 F.3d 836, 840 (10th Cir. 2005) (citations omitted).

While there may be facts supporting a retaliation claim in the extensive record attached to the claim, those facts are not clear from the complaint. The motion will be granted, however, Complainant will be allowed to file an amended complaint. Complainant will bear the burden to establish a violation and should be prepared to establish all elements of any renewed claims.

4. Service Not in Accordance with Service Contract

The complaint alleges “[f]ailure to honor service contract” and lists “[a]ttempting to cancel CHN26204 without cause” as the allegation. Complaint at 2. The factual allegations include that “On December 11, 2025, COSCO notified MAC that the attempted amendment to Service Contract CHN26204 was ‘cancelled’ and that the contract term was being ‘returned’ to its original expiration date of September 30, 2026” and that the “timing and substance of COSCO’s December 11 communication therefore confirm that the prior adverse actions could not be sustained on a lawful basis, and reflect COSCO’s implicit acknowledgment that those actions were improper once subjected to scrutiny.” Complaint at 4.

The complaint refers to section 41104(a)(3) for failure to honor service contract and 41104(a)(2) for unreasonable discrimination. Complainant appears to have these two sections confused as section 41104(a)(2) prohibits service not in accordance with a service contract while section 41104(a)(3) prohibits discrimination.

Section 41104(a)(2), known as the filed rate doctrine, states:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . (2) provide service in the liner trade that is—(A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a)(2) of this title; or (B) under a tariff or service contract that has been suspended or prohibited by the Federal Maritime Commission under chapter 407 or 423 of this title.

46 U.S.C. § 41104(a)(2).

The filed rate doctrine requires that “the agreed to rate (whether filed in tariffs or negotiated in a service contract or NRA) must be charged - not more and not less. However, that filed or negotiated rate may not be enforceable if it violates the Shipping Act, for example, if it is an unreasonable practice under section 41102(c).” *Bakerly, LLC v. Seafrigo USA, Inc.*, 2024 WL 95381, at *34 (ALJ Jan. 3, 2024) (*aff’d* 2024 WL 4678461 (FMC Oct. 30, 2024)); *see also Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves*, Docket No. 14-06, 2021 WL 1575018, at *17 n.15 (FMC April 16, 2021) (The Shipping Act requires common carriers to abide by the terms of their published tariffs and service contracts.).

The motion alleges that the “Complaint nowhere alleges that COSCO assessed rates or charges, or imposed classifications, rules, or practices other than those specified in the Service Contract” so that the complaint fails to state a claim. Motion at 13. The opposition does not address this argument.

The complaint does not allege that it was charged rates different from the rates in the service contract, rather, it alleges that Respondents unreasonably attempted to change the terms of the service contract. Complainant has not plausibly alleged a violation of section 41104(a)(2) and the motion is granted.

5. Discrimination

The complaint alleges unreasonable discrimination, asserting that MAC was “singled out for retaliation” and other customers were “unaffected.” Complaint at 2. The complaint refers to section 41104(a)(2) for discrimination, however, section 41104(a)(3) prohibits discrimination.

Respondents’ motion and reply do not specifically address the discrimination allegations, which is understandable given the confusing citations in the complaint. The opposition argues that the remaining arguments “improperly ask the Commission to weigh evidence, resolve factual disputes, and credit Respondents’ narrative over MAC’s well-pleaded allegations.” Opposition at 2.

Section 41104(a)(3) states that “A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . (3) unreasonably refuse cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods.” 46 U.S.C. § 41104(a)(3).

The complaint does not describe another entity that was treated differently. The mere reference to other customers being “unaffected” does not provide any factual support for this allegation. Complainant has not plausibly alleged a violation of section 41104(a)(3) and the motion is granted with regard to the discrimination claim.

D. Remedy

Dismissal of proceedings can be with or without prejudice. The Commission recently stated that “in *Maher Terminals*, the Commission endorsed a high standard for dismissals of claims with prejudice, particularly dismissals that relied on futility, and the Commission noted

that federal courts generally permit a claimant to amend at least once ‘where a more carefully drafted complaint might state a claim.’” *Samsung Electronics America, Inc., Complainant, v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, Docket No. 24-17, 2025 WL 2207363, at *12 (FMC July 30, 2025) (citing *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189, at *39 (FMC Dec. 18, 2015)).

The complaint is unclear, fails to accurately cite Shipping Act sections, and provides limited factual details. Complainant’s 2-page opposition fails to discuss many of the claims. Moreover, the opposition fails to cite caselaw or address the cases cited by Respondents. The arguments in the opposition are not sufficient to overcome the arguments made in the motion.

The motion to dismiss is granted with leave to file a motion to amend the complaint with a proposed amended complaint. An amended complaint would need to sufficiently explain the basis for the retaliation claim and any other allegations that are renewed. Complainant should review the law, including the cases cited by Respondents, to determine whether to file an amended complaint and if so, which claims to allege. Complainant is warned that if an amended complaint “remains conclusory, difficult to decipher, and devoid of clear references to the extensive record that they themselves have provided,” leave to file the amended complaint may be denied and the case dismissed with prejudice. *See Lopez v. Pec*, 2025 WL 3771392, at *14 (D.N.J. Dec. 31, 2025). If Complainant wants to keep attachments to the current complaint as part of the record, they should be attached to an amended complaint.

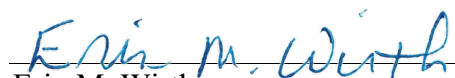
The complaint seeks reparations which the undersigned can award. However, it also seeks an order to withdraw an invoice, an order to reinstate a service contract, an order to restore commercial privileges and access, and an order to implement enforceable and prospective safeguards. It is not clear that the undersigned has the power to impose these requests.

The complaint also seeks civil penalties which are clearly not available in complaint proceedings. 46 C.F.R. § 502.62(a)(4)(iv) (“Civil penalties must not be requested and will not be awarded in complaint proceedings”). Any amended complaint should not request civil penalties.

IV. Order

Upon consideration of the record, the arguments of the parties, and the conclusions and findings set forth above, it is hereby **ORDERED** that Respondent’s motion to dismiss be **GRANTED**.

It is **FURTHER ORDERED** that Complainant file a motion seeking leave to file an amended complaint with the proposed amended complaint by June 12, 2026. Respondents may respond to the motion and Complainant may reply, in accordance with Commission Rule 70. If the motion and amended complaint are not filed, an order dismissing this action with prejudice will be issued.


Erin M. Wirth
Chief Administrative Law Judge